

Multiple Choice (10 marks)

1. Stagflation most likely results from
 - (a) decreasing AD with constant SRAS.
 - (b) a decrease in AD with increasing SRAS.
 - (c) decreasing SRAS with constant AD.
 - (d) increasing both AD and SRAS.
 - (e) a decrease in AD and an increase in SRAS.
2. A dark room technician who develops film into photographs loses his job because few people use film cameras any more. This is an example of which of the following?
 - (a) Seasonal unemployment
 - (b) Casual unemployment
 - (c) Cyclical unemployment
 - (d) Structural unemployment
 - (e) Underemployment
3. Under a pure capitalist system, would the government play a major role in the economy?
 - (a) Government intervenes only during economic crises to stabilize the market
 - (b) Government plays a minor role by enforcing contracts and property rights
 - (c) No government intervention in the economy
 - (d) Government provides public goods and services but does not control private enterprise
 - (e) Limited government intervention primarily in defense and public safety
4. Suppose a bank acquires an additional \$ 1 of deposits and no required reserve ratio exists. By how much could this one dollar deposit theoretically expand the money supply?
 - (a) \$20
 - (b) \$10
 - (c) \$5
 - (d) \$1,000
 - (e) Infinitely
5. The concentration ratio for a monopoly is
 - (a) 50

- (b) 5
- (c) 10
- (d) 90
- (e) 15

True / False (10 marks)

Answer True or False

- 6. True or False: The European Economic Community is primarily a social welfare collaboration between member states.
- 7. True or False: For an autoregressive process to be stationary, the roots of the characteristic equation must lie outside the unit circle.
- 8. True or False: The slope of the consumption function is equal to the marginal propensity to consume.
- 9. True or False: If interest rates rise in country A, its currency value will fluctuate unpredictably relative to other currencies.
- 10. True or False: A total wealth of \$190,000 would result from an expected annual income of \$20,000 and a discount rate of 10%.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Calculate the interest rate earned on a 91-day Treasury bill purchased for \$485,000 with a face value of \$500,000 at maturity. Discuss the implications of this rate in the context of government securities.
- 12. Discuss the importance of using per capita figures in economic growth analysis, focusing on their impact on measuring individual welfare and overall economic performance.

End of Paper